

GATX Corporation

NYSE: GATX

HOLD

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Price target **\$162.58**

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Expected 12-month return **+1.5%**

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price **\$162.78**, 2026-10-08 close

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dated **October 9, 2026**

Transportation & Rail Leasing

The thesis. GATX is a good business at close to a fair price. It is the largest railcar lessor in North America, the fleet doubled in January through the Wells Fargo deal, utilization is 98% and the industry is not building enough cars. None of that is in dispute. What is in dispute is 2027 earnings. The Street has \$11.27. My model, built from the 10-K and the Q2 10-Q, gets **\$10.18**, and the gap is interest: the Wells fleet came with about \$3B of GABX debt (now a \$1.9B floating term loan plus \$1B of fixed notes), and the interest on it eats most of what lease repricing adds. At GATX's own ten-year median multiple of 16.34x, my earnings are worth **\$166**, and a vintage-marked net asset value agrees at \$169. The buy-side lens is harsher: the stock trades at about 2.0x book, which needs a higher return on equity than the 12 to 13% the filings show. Justified P/B gives \$158. Weighting the three (P/B 35%, NAV 35%, P/E 30%) gives \$163 against \$162.78. **After the 4% drop on October 7 the price no longer pays for the Street's earnings, but it still pays for a return on equity the company does not earn.** Close to fair, not cheap: above about \$174 the same rule says SELL, below about \$144 BUY. Fleet growth: GATX owns about a third of it (30% at close, 33.5% after buying more in June).

PRICE 10-08	MARKET CAP diluted	DIVIDEND YIELD FWD	P/E — NTM BMG EPS	10-YR MEDIAN NTM daily, n=2,606
\$162.78	\$5.9B	1.6%	15.60x	16.34x

HEADQUARTERS	Chicago, Illinois
FOUNDED	1898, public since 1916
CEO	Robert C. Lyons
FLEET	~278,000 railcars owned and managed; Rail NA 192,638 incl. GABX
SEGMENTS	Rail North America, Rail International, Engine Leasing, Trifleet
GABX JV	101,000 Wells Fargo cars, \$4.2B, Jan 2026; GATX 33.5%, Brookfield 66.5%
CREDIT RATINGS	BBB / Baa1 / BBB+ (S&P / Moody's / Fitch)
MARGINAL COST OF DEBT	5.95%, 2035 notes, Sep 2026

WHY THE PRICE IS CLOSE TO FAIR

- Only the cars whose leases end this year get the new rate.** Leases run about 54 months, so roughly a quarter of the fleet reprices in any year. The Lease Price Index (the change in rate on renewal) was +16.8% in Q2 2026, down from +24.5% a year earlier. On the renewing slice that is worth about **+4% on the blended fleet rate**, or roughly **\$31M of pretax to GATX in 2027, about \$0.67 a share**, and it fades as the cheap 2021 leases run out. The repricing story is real and it is already mostly in the numbers.
- Interest is the line the Street is under-modeling.** Debt went from \$8.3B to \$12.5B in one year. The 2026 maturities carry a 3.05% coupon and refinance near 5.30% to 5.95%. My model has 2027 interest at **\$616M**, up about **\$224M** from the pre-Wells run rate. Against about \$31M of repricing, that is the whole \$1.09 gap between my \$10.18 and the Street's \$11.27.
- The earnings cushion is asset sales, not leasing.** Disposition gains (selling old cars above book) are guided to \$200M for 2026 and are about **40% of pretax income**. They are recurring but cyclical. Core EPS with no gains is **\$5.57**; at the six-year average of \$105M of gains it is **\$7.81**, which puts the stock at **22.0x** normalized earnings.
- The RRP engine JV pays out less than it earns.** GATX books 50% of the Rolls-Royce JV's profit as one line (\$117.5M after tax in 2025) but received \$50M of cash. The earnings are real; the cash conversion is 43%. I model dividends, not the accounting share, when I value it.
- Brookfield owns two-thirds of the new fleet.** GABX is 100% consolidated, so revenue, interest and utilization all look bigger, but 66.5% of its profit leaves through the non-controlling interest line. GATX also guarantees 100% of the GABX debt while owning about a third of the equity (30% at close, 33.5% after buying more in June). The call options to buy Brookfield out are real but undisclosed in price; the first tranche cost \$66M for 3.5 points.
- Four valuation methods: two now above the price, two below.** P/E on my earnings \$170. Net asset value with each vintage of the fleet marked to market \$169. A seven-lessor P/B-versus-ROE regression \$161 (weak fit, shown not weighted). Residual income, which asks what return on equity the price requires, \$99: the price needs a return on equity well above the 12 to 13% the filings support with gains included.

VALUATION

My price target justified P/B 35% / NAV 35% / P/E 30%	\$162.58
How I got it $0.35 \times \$157.56 + 0.35 \times \$169.91 + 0.30 \times \$167.67$	three legs, weighted
P/E leg 10-yr median 16.34x, bear/base/bull weighted 25/50/25	\$167.67
Justified P/B leg (ROE 12.2% – g 5.0%) / (Ke 9.0% – g 5.0%) = $1.80 \times$ book of \$87.59; g = retention $\times$ ROE, capped	\$157.56
Expected 12-month total return target plus \$2.64 NTM dividend (\$0.66 declared quarterly $\times$ 4) at \$162.78; model 2027E DPS is \$2.74 (footnote)	+1.5%
Rating rule pre-registered, mechanical	BUY > +15% · SELL < –5%
Rule in dollars	SELL above about \$174 · BUY below about \$144
NAV leg fleet marked by vintage 1.02 to 1.27x, fleet-wide 1.04x, after deferred tax	\$169.91

ESTIMATES

	2025A	2026E	2027E
Earnings per share, BMG adjusted, the basis guidance uses	\$8.75	\$10.29	\$10.18
Earnings per share, consensus FactSet	\$8.75	\$10.23	\$11.27
Price ÷ BMG earnings at \$162.78	18.6x	15.8x	16.0x
Revenue	\$1.74B	\$2.38B	\$2.47B
EBIT margin	30.7%	29.3%	28.4%
Interest expense	\$413M	\$589M	\$616M
Return on equity	12.6%	13.2%	12.2%
Dividend per share	\$2.44	\$2.56	\$2.61
Railcars leased out North America	99.0%	99.0%	99.0%

2026 guidance is \$9.90 to \$10.30; I am above it because I carry \$140M of legacy disposition gains against a \$130M guide with about \$94M legacy already booked in H1 (Rail NA segment reported \$117.5M includes GABX; Lyons Q2 call: \$94M was legacy). 2025 GAAP EPS was \$9.12; \$8.75 is the adjusted figure. Interest 2025A is cash interest paid. 2026E and 2027E are the BMG model, published v32 basis held until the Q3 review.

Residual income per share ROE minus Ke 9.0%, 10-year fade; shown, not weighted	\$99.17
Peer P/B on ROE seven pure lessors, R ² 0.03, not weighted	\$161.97
Published analyst targets FactSet average \$219.75, 4 brokers, all Buy	\$218–\$221

Why three methods and not one. A ten-year median P/E assumes GATX is the same business it averaged over the window, and it is not: leverage is 3.3×, a third of the fleet arrived in January with about \$3B of GABX debt, and gains are a bigger share of earnings. So P/E is 30%, not 100%. The two P/B-based legs ask what the equity underneath the earnings is worth: NAV marks the cars, justified P/B asks whether about 2.0× book is earned. The weights were set on method quality on 2026-10-01 with all legs visible; residual income is left at zero because it is justified P/B in another form, and the peer regression because R² is 0.03.

The inversion check, after the drop. At 16.34×, \$162.78 implies 2027 EPS of **\$9.96**, below my \$10.18: the market now prices less than my earnings at the median multiple, which is why the expected return turned positive. It is not enough for a BUY; that needs a price below about \$144. The P/B leg is most sensitive to the growth input: at 2% growth it is \$127 and the target \$155; at 4%, \$143 and \$161; at the model's sustainable 5%, \$158 and \$166. At the model's growth input the target is now above the price, but not 15% above it.

What the \$163 excludes. The Brookfield call options. The first exercise on 2026-06-30 paid \$66.2M for 3.5 points of GABX at a premium charged to equity. If used railcar values hold, the remaining tranches are worth something. Neither my target nor the Street's includes them, and they cut both ways: each buy-in adds debt-funded earnings.

EARNINGS BRIDGE AND SENSITIVITY

The Street takes 2027 EPS from \$10.23 to \$11.27, up \$1.04. My model takes it from \$10.29 to \$10.18. Same starting business, different arithmetic on three lines. Repricing is the only line that helps, and it is small because **only about a quarter of the fleet renews in a year** and the acquired Wells pool is on longer, lower-rate leases that roll slowly. Interest is the line that hurts, and it is large because the 2026 maturities reprice from 3.05% to the high fives and the \$1.9B GABX term loan still floats (the other \$1B was refinanced into fixed notes at 4.63% and 5.30%).

2027 vs 2026, BMG MODEL	PRETAX	CERTAINTY
Repricing on renewing cars, legacy and GABX	~+\$31M	Contractual
Added interest vs pre-Wells run rate	~–\$224M	Contractual
Disposition gains, \$140M legacy held flat	~\$0	Cyclical
RRPF dividends vs equity share	cash 43% of earnings	Discretionary
2027E EPS, BMG vs Street	\$10.18 vs \$11.27	gap \$1.09

Break-even LPI in 2027 is –29%; the 2017 trough was –28.2%. The thesis is not that repricing fails. It is that repricing cannot outrun the interest. For repricing alone to make GATX a BUY under my rule, LPI would need to reach about **+80%**.

SCENARIOS AND RISK/REWARD

SCENARIO	2027 EPS	MULTIPLE	PRICE	TOTAL RETURN	WHAT HAS TO HAPPEN
Bull, 25%	\$10.66	17.69×	\$189	+17%	LPI holds mid-teens through 2028, renewal success 88%, legacy gains \$175M, RRPF pays \$150M, new debt at 4.80%. Ten-year 75th percentile multiple.
Street earnings, my multiple	\$11.27	16.34×	\$184	+14%	The Street is right on 2027 and the market keeps paying the ten-year median.
Base, 50%	\$10.18	16.34×	\$166	+4%	LPI fades from +16.8% toward low single digits by 2029, legacy gains \$140M, interest as modeled, multiple at the ten-year median.
Bear, 25%	\$10.12	14.78×	\$150	–7%	LPI fades to –10% by 2029, renewal success 75%, legacy gains at the \$130M guide then \$100M, new debt at 6.00% (the kill line). Ten-year 25th percentile multiple.

These are the P/E leg's three cases, from the full model with one scenario switch, not a straight-line grid: the balance sheet balances and cash ties in every case. Probability-weighted they give the \$167.67 P/E leg; NAV and justified P/B barely move by scenario. Returns include the \$2.64 NTM dividend (\$0.66 declared quarterly × 4; model 2027E DPS is \$2.74). Multiples are percentiles of GATX's own ten-year NTM distribution, not peer medians. **The fleet mark is the bull's lever:** at a 1.14× fleet mark instead of 1.04× the weighted target is about \$173, about +9% with the dividend: still a HOLD.

SIGNPOSTS AND KILL CRITERIA

- Q3 results, 2026-10-29.** BMG \$2.55 (model v39) vs FactSet consensus \$2.46. I am above the Street on the quarter because H1 gains ran ahead of guide, and below it on 2027 because of interest. If Q3 prints above \$2.55 with gains flat, my interest math is wrong and I say so.
- Legacy disposition gains, FY2026.** About \$94M of legacy gain was booked in H1 (Lyons, Q2 call) against a \$130M legacy guide; I carry \$140M. **Mgmt said full-year will exceed \$130M "a little"; my \$140M is in line.** Below \$146M the call moves toward SELL.

IF THE MULTIPLE MOVES	MULTIPLE	ON \$10.18	RETURN
10-yr median the P/E leg	16.34×	\$166	+2%
5-yr median	17.08×	\$174	+7%
Today's multiple on my EPS	16.00×	\$163	0%
5-yr 75th percentile	18.11×	\$184	+13%

At the five-year 75th percentile multiple my earnings reach +13% before the dividend, but that is the P/E leg alone; the P/B and NAV legs hold the weighted target at \$163. Returns here are price only; the headline +1.5% includes the \$2.64 NTM dividend on the weighted target (model 2027E DPS footnote: \$2.74). Each \$50M of disposition gains above or below my \$140M is about \$1.06 of EPS.

WHAT WOULD MAKE ME WRONG

- The Street is right about interest.** If GATX terms out the GABX loan cheaply, or rates fall, 2027 interest comes in below my \$616M. Every \$50M of interest is about \$1.06 of EPS after tax, the same lever as gains. A 2027 print near \$11.27 moves this toward BUY at the same multiple.
- Book understates the fleet more than I mark it.** GATX sells its oldest cars at 1.76× book. I mark the whole fleet at 1.04×. If the right mark is 1.14×, the target is \$177; at 1.27× it is above the price. This is the single assumption a bull should attack, and it is on the page.

- **GATX's own LPI, quarter by quarter.** +24.5%, +22.3%, +16.8%. **Below +10% in any quarter** is a kill criterion on the original thesis; for this call it confirms the fade. Above +20% again would say the repricing runway is longer than I model.
- **Renewal success with the LPI.** 87% in 2025, 79.1% in Q1, 82.6% in Q2. One falling is mechanical. Both falling is price resistance.
- **Cost of new ten-year debt.** The 2035 notes yield 5.95%, five basis points from the 6.00% trigger. Any ten-year issuance at or above 6.00% fires regardless of the tape.
- **Utilization below 96%, or a rating below BBB-.** Both pre-registered. Neither is close: 98.0% and one notch of headroom (Fitch two).
- **The price itself.** Above about \$174 the rule moves the call to SELL; below about \$144 to BUY. **The target moved from \$166 to \$163 after the disposition basis was corrected (v39), not when the facts did; the direction never moved.**
- **The multiple re-rates.** GATX has closed at or above 17.8x on a quarter to a third of trading days in 2024, 2025 and 2026. At the five-year 75th percentile of 18.11x my own earnings are worth \$190. I am not paying that for gains-heavy earnings, but the market has.
- **Dispositions stay at a plateau, not a peak.** Used railcar prices are supported by a 25% tariff on imported tank cars, a backlog near a 15-year low, and scrapping that outruns builds. If \$200M a year is the new normal rather than a cyclical high, my normalized-gains EPS of \$7.81 is too low and the 22.0x argument weakens.
- **An accretive Brookfield buy-in.** Each tranche moves earnings from the NCI line to GATX. The first cost \$66M for 3.5 points. A larger exercise at a fair price is earnings I have not modeled.
- **The supply story is stronger than I give it credit for.** 2025 orders were 20,361 against 35,000 to 40,000 of replacement need, the fleet is shrinking, and 135,000 cars hit the 50-year limit within five years. If LPI stays in the high teens into 2028 instead of fading, my bull case becomes the base.
- **Everyone else is a Buy.** Four brokers, all Buy, average target \$219.75. When I am the only bear, the burden of proof is mine. The proof is one number, 2027 interest, and it is checkable every quarter.

Sources: GATX FY2025 10-K; Q2 2026 10-Q and release; Q4 2025 and Q2 2026 call transcripts; GABX 8-Ks (Jan 5 and Jul 1, 2026); Fitch affirmation Jul 2026; FactSet consensus and NTM P/E history; BMG model GATX-FSM-v39 (2026-10-09; disposition gains basis corrected after Q2 call re-read). Prior call: BUY, \$200, opened 2026-09-11 at \$178.53; revised to SELL (\$170) 2026-09-28 at \$183.73 after the model build; target method revised to weighted P/B, NAV and P/E (\$155) 2026-10-01; growth input corrected (\$166) 2026-10-02; revised HOLD 2026-10-06 at \$172.27 on price, target unchanged; price updated to the 2026-10-07 close of \$163.34, still HOLD; v39 2026-10-09 corrected 2026 and 2027 legacy disposition gains from \$155M to \$140M after Q2 call transcript re-read (\$94M H1 legacy, Lyons; "a little above \$130M" guide), new target \$162.58; v39 price revision 2026-10-09 corrected the \$161.42 (which was the 2026-09-18 FactSet draft price) to \$162.78 (2026-10-08 close, FactSet SIP consolidated, Cowork verified); return basis updated to the declared \$0.66 quarterly x 4 = \$2.64 NTM dividend (model 2027E DPS = \$2.74 footnote); return +1.5%, still HOLD. Evaluation 2027-09-13, benchmark XLI.

Brock Gorzelanczyk | 1 · v10, 2026-10-09

Student research for educational purposes. Nothing here is investment advice or a recommendation to buy or sell any security. No position held in GATX.